

• U.S. CUSTOMS ENTRY ANALYSIS

Duty Stack Summary

Entry **H42-0214088-9** · Filer H42 · Port 3501 Pembina, ND

Comprehensive breakdown of the total duty, fee, and tax stack applied to a China-origin water-filtration and graphite-stone shipment entered via Canadian Pacific Railway at the Pembina, ND port of entry on 27 September 2025. The analysis covers the layered application of the 2025 China reciprocal tariffs (9903.88.01 / 9903.88.03), the CN/HK EO additional 20% duty (9903.01.24), the any-country reciprocal 10% duty (9903.01.25), and the Merchandise Processing Fee (0.3464% ad valorem), reconciled to the CBP-ascertained grand total of \$43,358.37.

ENTERED VALUE

\$78,340.00

USD total invoice

EFFECTIVE DUTY

55.00%

25% + 20% + 10% stacked

GRAND TOTAL

\$43,358.37

Duty + MPF (no tax)

ENTRY NUMBER

H42-0214088-9

SUMMARY DATE

10 / 08 / 2025

IMPORTER OF RECORD

Commercial Water Distributing LLC

ENTRY TYPE

01 — Consumption (ABI/A)

MODE OF TRANSPORT

21 — Rail (CPRS)

BROKER / FILER

William L. Griffin & Company, Inc.

CONFIDENTIAL · INTERNAL USE

1. Entry Header & Shipment Particulars

This section summarizes the administrative header of CBP Form 7501 (Entry Summary) for filer code **H42**, entry number **0214088-9**. The shipment entered the United States through the Pembina, North Dakota port of entry (port code 3501) on 27 September 2025, having travelled from China by rail via Canadian Pacific Railway. The entry was filed as type **01 — Consumption (ABI/A)**, the most common entry type for merchandise imported for domestic consumption and cleared through the Automated Broker Interface. The single surety on file is bond type 8 with surety number 036. The merchandise was imported by **Commercial Water Distributing LLC** of Zumbrota, Minnesota, and brokered by William L. Griffin & Company, Inc. of Minneapolis. All header fields below are reproduced verbatim from the CBP-issued entry summary; no reinterpretation was applied.

Field	Value	Field	Value
Entry No.	H42-0214088-9	B/L or AWB No.	CPRS252532319256
Entry Type	01 — Consumption (ABI/A)	Manufacturer ID	CNQINSIM16QIN
Summary Date	10/08/2025	Exporting Country	CN — China
Entry Date	09/27/2025	Export Date	08/16/2025
Surety No. / Bond Type	036 / Type 8	I.T. No. / Date	V3747815453 / 09/10/2025
Port Code	3501 — Pembina, ND	Foreign Port of Lading	57047
Importing Carrier	CPRS — Canadian Pacific Railway	U.S. Port of Unlading	3403
Mode of Transport	21 — Rail	Country of Origin	CN — China
Import Date	09/10/2025	Importer No.	37-144012000
Importer of Record	Commercial Water Distributing LLC, 560 22nd St, Zumbrota, MN 55992	Broker / Filer	William L. Griffin & Company, Inc., 7830 12th Ave S, Minneapolis, MN 55425

Table 1 — CBP Form 7501 administrative header fields (Blocks 1-26).

2. Line-by-Line Duty Stack Breakdown

The entry contains two commercial invoice lines, both originating from China. Each line is classified under a base HTSUS provision that carries a **FREE (0%)** column-1 duty rate, but every line is then subjected to three stacked tariff provisions plus the Merchandise Processing Fee. The table below reproduces the full duty stack for each line. The 25% / 20% / 10% rates are applied independently and **additively** to the same entered value — they do not offset or cap each other — producing an effective ad-valorem duty of **55%** before MPF.

Line	Article & Base HTSUS	Tariff Provision	Rate	Entered Value (USD)	Duty / Fee (USD)
001	Filter of purifier for water HTS 8421.21.0000	Base column-1 duty	FREE	77,586.00	0.00
		9903.88.01 — Articles of China, US NTE 20 (A)	25%	77,586.00	19,396.50
		9903.01.24 — CN/HK EO additional 20% duty	20%	77,586.00	15,517.20
		9903.01.25 — Reciprocal 10% (any country)	10%	77,586.00	7,758.60
		Merchandise Processing Fee (ad valorem)	0.3464%	77,586.00	268.76
		Stacked duty + MPF	55% + MPF	77,586.00	42,941.06
002	Stone, mineral, non-elec. graphite HTS 6815.19.0000	Base column-1 duty	FREE	754.00	0.00
		9903.88.03 — Articles of China, US NTE 20 (F)	25%	754.00	188.50
		9903.01.24 — CN/HK EO additional 20% duty	20%	754.00	150.80
		9903.01.25 — Reciprocal 10% (any country)	10%	754.00	75.40
		Merchandise Processing Fee (ad valorem)	0.3464%	754.00	2.61
		Stacked duty + MPF	55% + MPF	754.00	417.31
	Entry total	All provisions + MPF	—	78,340.00	43,358.37

Table 2 — Full duty stack for each invoice line. Rates are applied additively to the entered value (column-1 valuation). All figures in USD; duty amounts reflect CBP-ascertained values from Form 7501 column 34.

Verification — duty stack arithmetic

Arithmetic check: 25% + 20% + 10% = 55% effective ad-valorem duty. Line 001: $\$77,586 \times 0.55 = \$42,672.30$ duty + \$268.76 MPF = **\$42,941.06**. Line 002: $\$754 \times 0.55 = \414.70 duty + \$2.61 MPF = **\$417.31**. Combined: **\$43,087.00** duty + **\$271.37** MPF = **\$43,358.37 grand total**, which matches CBP Form 7501 block 40 exactly.

3. Visual Duty Stack Analysis

The two visualizations below decompose the duty stack in complementary ways. The stacked horizontal bar chart shows how each line's total payment is composed of the four distinct layers (25%, 20%, 10%, MPF). The donut chart aggregates both lines into a single grand total of **\$43,358.37** and shows each layer's share of the overall cash outlay to CBP.

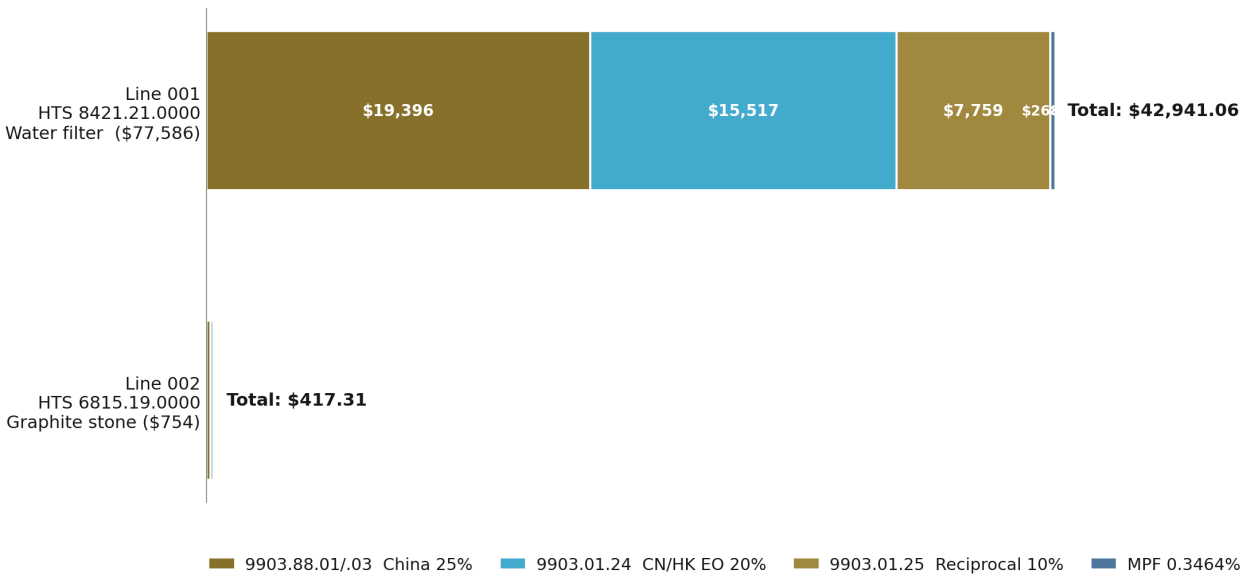


Figure 1 — Per-line duty stack composition. Each bar shows the additive layers applied to a single invoice line's entered value. The vast disparity in absolute duty between the two lines reflects the entered-value gap (\$77,586 vs \$754), not a difference in the rate stack — both lines carry the identical 55% effective duty.

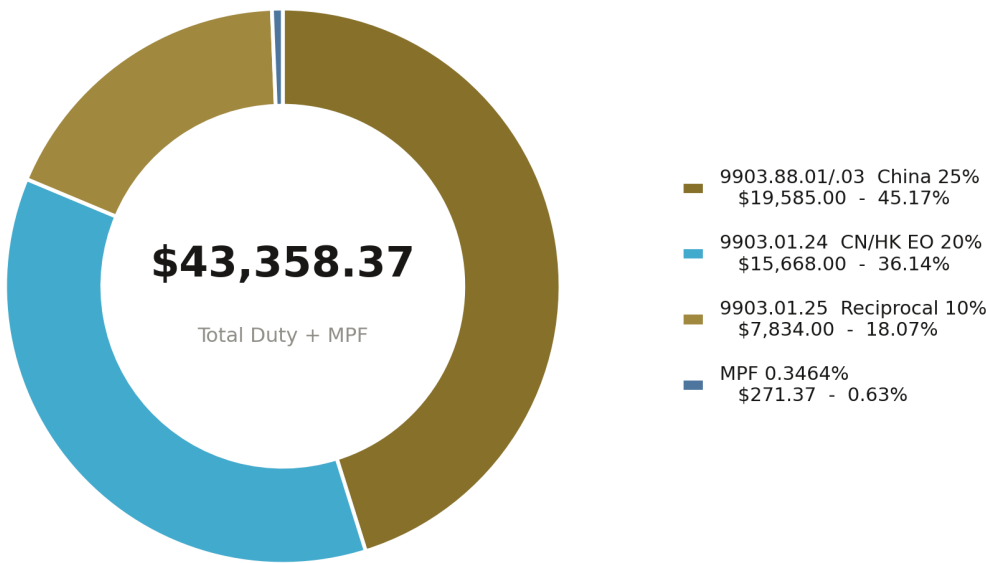


Figure 2 — Grand-total share by tariff layer. The 25% China-specific tariff (9903.88.01/03) is the single largest contributor at 45.16% of the total cash outlay. The CN/HK EO 20% layer (9903.01.24) adds another 36.13%. MPF, despite being a tiny 0.3464% rate, contributes only 0.63% — a negligible share of the overall burden.

4. Tariff Provision Explanations & Reconciliation

The four duty-bearing provisions applied to this entry — three tariff layers and one statutory fee — are explained below in the order they appear on Form 7501. Together they raise the effective landed cost from a nominal 0% (FREE base HTS) to a 55.35% all-in rate including MPF. No Harbor Maintenance Fee (HMF) was assessed because the shipment entered by rail (mode 21); HMF applies only to ocean-mode imports under 19 U.S.C. § 4462.

4.1 Base HTS Classification — FREE (0%)

Both articles are classified under HTSUS headings whose column-1 (general) rate is **FREE**: Line 001 under **8421.21.0000** (filtering or purifying machinery for water) and Line 002 under **6815.19.0000** (non-electrical articles of stone/mineral). Under normal trade conditions this would result in zero duty. The entire duty burden on this entry therefore originates from the three China-specific and reciprocal provisions layered on top via Chapter 99 override provisions, not from the underlying article classification.

4.2 HTS 9903.88.01 / 9903.88.03 — China 25% Reciprocal

This is the principal China-specific reciprocal tariff imposed under Executive Order authority in 2025, codified at HTSUS 9903.88.01 (applied to most articles, here Line 001) and 9903.88.03 (an alternative subheading applied to Line 002). It imposes an additional **25% ad valorem** on top of any other duties, computed against the entered value. The "US NTE 20" annotation indicates the United States notified trading partners of up to a 20 percentage-point increase over baseline rates; the actual rate as filed on this entry is 25%. This single provision generates the largest cash outlay on the entry: **\$19,585.00** across both lines (45.16% of the total).

4.3 HTS 9903.01.24 — CN/HK EO 20% Additional Duty

The "CN/HK EO 20% DUTY" provision at HTS 9903.01.24 is a separate Executive Order-imposed additional duty on goods originating in China or Hong Kong. It is applied **in addition to** the 25% reciprocal tariff above, not in lieu of it. The two layers stack additively. On this entry, the 20% layer generates **\$15,668.00** of duty (36.13% of the total) — the second-largest contributor.

4.4 HTS 9903.01.25 — Reciprocal 10% (Any Country)

HTS 9903.01.25 applies a 10% reciprocal duty to goods from "any country" except where specifically excluded by subheadings 9903.01.26 through 9903.01.34. Because the goods here are not covered by an exclusion, the 10% layer applies on top of the 25% and 20% China-specific duties. This third layer contributes **\$7,834.00** (18.07% of the total). Together, the three stacked tariff provisions produce an effective 55% ad-valorem duty on a 0%-classified article — a 55-percentage-point uplift over baseline.

4.5 Merchandise Processing Fee — 0.3464% ad valorem

The Merchandise Processing Fee (MPF) is a statutory user fee assessed under 19 U.S.C. § 58c(a)(9). It is calculated at **0.3464%** of the entered value, with a statutory minimum of \$29.23 and maximum of \$614.35 for formal entries (the figures on this entry fall within that range). MPF is filed under fee code 499 and reported in Block 39 of Form 7501 as "Other." Because the shipment entered by rail, no Harbor Maintenance Fee was assessed. Total MPF on this entry: **\$271.37** (\$268.76 on Line 001 + \$2.61 on Line 002), representing 0.63% of

the total outlay.

4.6 Total Reconciliation to Form 7501

The table below reconciles the layered duty stack to the CBP-ascertained totals reported in Blocks 35-40 of Form 7501. Every figure matches the CBP-issued entry summary to the cent.

Block	Description	Amount (USD)	Effective Rate
35	Total Entered Value	78,340.00	—
37	Total Duty (25% + 20% + 10% stacked)	43,087.00	55.00% of entered value
38	Total Tax (Internal Revenue)	0.00	—
39	Total Other Fees (MPF only, no HMF — rail mode)	271.37	0.35% of entered value
40	Grand Total (Duty + Tax + Other)	43,358.37	55.35% of entered value

Table 3 — Reconciliation of layered duty stack to CBP Form 7501 Blocks 35-40 (ascertained totals).

Bottom line — total duty stack

The total cash outlay to CBP on this entry is **\$43,358.37**, equivalent to **55.35%** of the \$78,340 entered value. The burden is overwhelmingly composed of three layered China/reciprocal tariff provisions — the base HTS rate of FREE contributes nothing. No Internal Revenue tax applies, and no Harbor Maintenance Fee was assessed because the shipment entered by rail. The MPF contribution is immaterial at 0.63% of the total outlay.